

BHUTAN

Growth accelerated in 2024 as industry rebounded and public spending rose. Inflation eased, the fiscal deficit narrowed, and the current account deficit shrank. Growth will pick up this year as a major hydropower plant comes onstream, then moderate in 2026. Inflation will also edge up this year and remain similar in 2026, but the current account deficit will widen in both years. Bhutan aims to build a robust financial system able to mobilize resources toward achieving development objectives, and will need to undertake a broad program of financial sector reforms.

Economic Performance

Economic growth is estimated to have risen to 5.5% in 2024 from 4.9% in 2023 (Figure 2.16.1).

All sectors recorded expansion, primarily driven by robust domestic demand fueled by increased public spending. Agricultural output expanded by an estimated 5.5% due to increased contributions from forestry and logging as the government permitted timber exports for the first time since 1999. Following stagnation in the previous year, industry output growth rebounded to 5.1% on strong construction performance

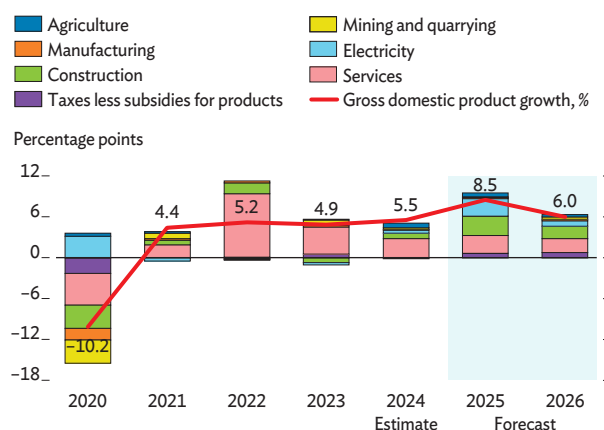
and modest growth in the electricity and manufacturing subsectors. Robust expansion in hotels and restaurants underpinned 5.2% growth in services.

On the demand side, a significant increase in civil servants' salaries boosted the contribution of consumption to growth (Figure 2.16.2).

Public consumption expenditure increased by 4.5%, underpinned by the full impact of the rise in civil service salaries that began in mid-2023. Private consumption expenditure expanded by 4.5%, supported by rising bank borrowing and higher remittances. Total consumption added 3.2 percentage points to growth. Investment rose marginally to add 0.6 points to growth. Net exports improved marginally on reduced imports and better non-hydro exports, leading to a 1.7% overall contribution to growth.

Figure 2.16.1 Supply-Side Contributions to Growth

GDP growth in 2024 was broad based.



GDP = gross domestic product.

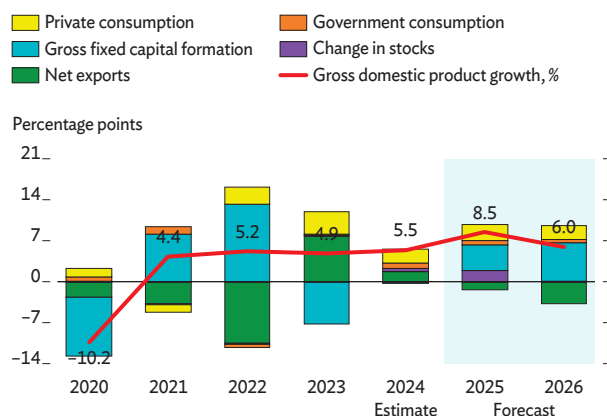
Sources: National Statistics Bureau; Asian Development Bank estimates.

Inflation moderated to 2.8% in 2024 from 4.2% a year earlier, mainly driven by falling nonfood prices (Figure 2.16.3).

A persistent fall in prices for health, transport, and communication services, which together contributed a third of overall inflation, offset a 4.3% increase in food prices. Food prices, which grew marginally in the second quarter, doubled in the remaining quarters, driven by price increases for food and nonalcoholic beverages. Due to close economic ties, food prices moved in tandem with India's rising food and vegetable prices.

Figure 2.16.2 Demand-Side Contributions to Growth

GDP growth in 2024 was led by expanded consumption.

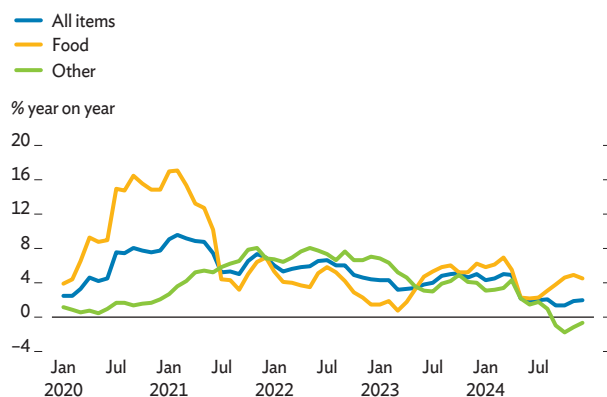


GDP = gross domestic product.

Sources: National Statistics Bureau; Asian Development Bank estimates.

Figure 2.16.3 Inflation

Inflation eased in 2024 on slower increases in nonfood prices.



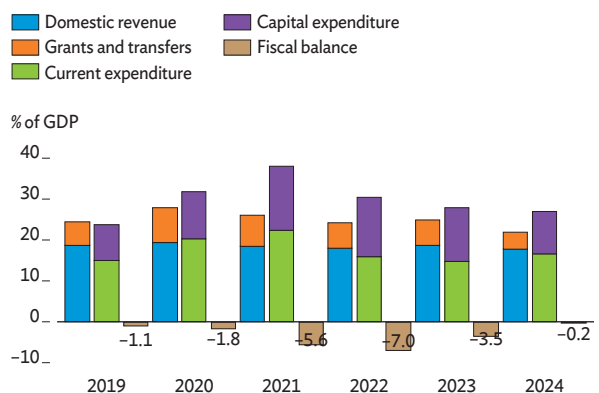
Source: National Statistics Bureau.

The fiscal deficit narrowed on better revenue collection and lower expenditure.

It shrank from 3.5% of GDP in FY2023 (ended 30 June 2023) to 0.2% in FY2024 (Figure 2.16.4). Revenues and grants improved to 27.0% of GDP in FY2024 from 25.3% in FY2023, driven mainly by increased profit transfers and taxes. A decline in government capital expenditure by 2.8 percentage points of GDP in FY2024 offset an increase by 1.8 percentage points in current spending that followed increased salaries and wages for public servants. Domestic revenue covers current expenditure, but Bhutan continues to rely heavily on debt financing for its development activities. While overall public debt declined to 109.6% of GDP in FY2024 from 116.1% in FY2023, domestic

Figure 2.16.4 Fiscal Indicators

The fiscal balance improved in FY2024.



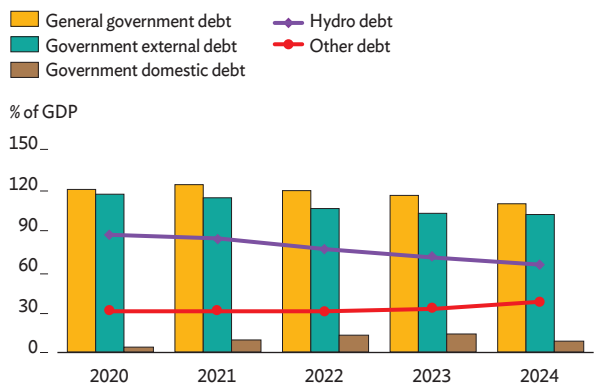
GDP = gross domestic product.

Note: Years are fiscal years ending on 30 June of that year.

Sources: Ministry of Finance; Asian Development Bank estimates.

Figure 2.16.5 Government Debt

Public debt reduced marginally in FY2024.



GDP = gross domestic product.

Note: Years are fiscal years ending on 30 June of that year.

Sources: Ministry of Finance; National Statistics Bureau.

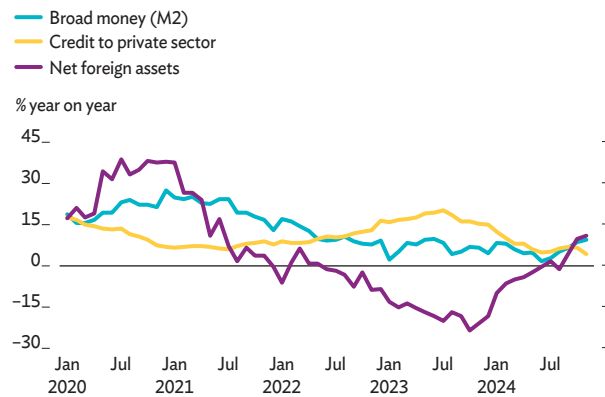
public debt continued to remain elevated at 8.3% of GDP as government bond issues rose (Figure 2.16.5). Debt service payments equaled 26.8% of government revenue, indicating only moderate risk of debt distress.

Monetary policy remained accommodative in 2024 (Figure 2.16.6).

The Royal Monetary Authority maintained the cash reserve ratio—the only monetary policy tool used for influencing liquidity and credit growth in the banking sector—at 8.0%. Its decision in mid-2023 to discontinue withdrawing balances in banks related to hydropower projects helped boost liquidity in the banking system. The authority also reduced the minimum lending rate to 6.4% in December 2024

Figure 2.16.6 Monetary Indicators

Monetary policy was accommodative in 2024.



Source: Royal Monetary Authority.

from 6.8% in June 2024. Net foreign assets grew by 7.4% in 2024, a marked improvement from contraction by 18.3% in 2023, on an increase in remittances, official grants, and proceeds from bitcoin sales. Private sector credit growth slowed to 2.7% in 2024 from 15.0% in the previous year, mainly due to a decline in education loans, as destination countries tightened visa requirements and limited international student enrollment. Money supply expanded by 8.0% on increased domestic deposits, largely supported by the disbursement of the first tranche of the \$180.7 million Economic Stimulus Plan, a government initiative launched in 2024 with budgetary support from the Government of India.

The current account deficit narrowed markedly from 28.5% of GDP in 2023 to 16.4% as the trade balance improved. The trade deficit fell by almost 23.0% on the back of a marked increase in non-hydro exports and a marginal fall in imports. Hydropower exports improved only marginally in 2024, despite the commissioning of the Nikachhu hydro plant, due to a notable rise in domestic consumption. Conversely, Bhutan's electricity imports increased markedly, reflecting heightened demand for energy-intensive cryptocurrency mining. Gross international reserves improved to \$700 million in 2024 from about \$600 million in 2023. This rise was driven by positive balances in both financial and capital accounts, aided mainly by investment grants and nearly doubled foreign direct investment compared to the previous year. The reserves provided cover for 6.5 months of imports.

Economic Prospects

Growth is forecast to accelerate to 8.5% in 2025 before moderating to 6.0% in 2026 (Table 2.16.1).

It will be driven by broad-based expansion across all sectors. Industry is expected to grow by a remarkably high rate of 18.6% in 2025, underpinned by hydroelectricity production and a related surge in construction activity. The commissioning of key infrastructure projects—most notably the Punatsangchhu Hydropower Plant II, which was initially scheduled for commissioning in the last quarter of 2024 but slipped to 2025 due to technical issues, and an uptick in hydropower construction activities, mainly the start of a 600-megawatt Kholongchhu Hydropower Plant, which is the first phase of a 5,000-megawatt project agreed with the Tata company of India—will boost industry growth in the forecast years. Services are projected to expand by 4.9% in 2025, buoyed by double-digit expansion in transport, storage, hotels, and restaurants. This reflects increased arrivals of international tourists in 2025. Agriculture will benefit from a continued upswing in forestry and logging activities after the government permitted timber exports in early 2024. The sector is projected to grow by 4.3% in 2025. Growth is forecast to moderate in 2026 as hydroelectricity expansion falls from its peak, tamping down industry growth to 9.3%. A gradual slowdown in tourist arrivals and slowing expansion of logging and forestry will tamp down growth in services and agriculture.

Table 2.16.1 Selected Economic Indicators, %

Growth will rise this year before moderating in 2026, while inflation will edge up this year and next.

	2023	2024	2025	2026
GDP growth	4.9	5.5	8.5	6.0
Inflation	4.2	2.8	3.4	3.5

GDP = gross domestic product.

Sources: Ministry of Finance; National Statistics Bureau; Asian Development Bank estimates.

On the demand side, aggregate consumption expenditure will drive growth. Consumption is forecast to expand by 5.0% in 2025 and somewhat slower at 4.2% in 2026 as the effects of salary increases for public servants wane. Private consumption will rise

by 5.3% in the forecast years on steady growth in credit to the private sector and remittances. Fixed investment will rebound by 9.8% in 2025 from a drop of 0.1% in 2024, as the implementation of the 13th Five-Year Plan and the construction of new hydropower plants pick up. An uptick in private sector investment in buildings, machinery, and equipment will boost fixed investment.

The fiscal deficit is projected to widen to 5.6% of GDP in FY2025. This will be driven primarily by a marked increase in capital expenditures as the government begins implementing its planned activities. The deficit will likely narrow to 3.9% of GDP in FY2026 due to an expected increase in grant inflows, one-time profit transfers from newly commissioned hydropower plants, and the planned introduction of a goods and services tax in 2025.

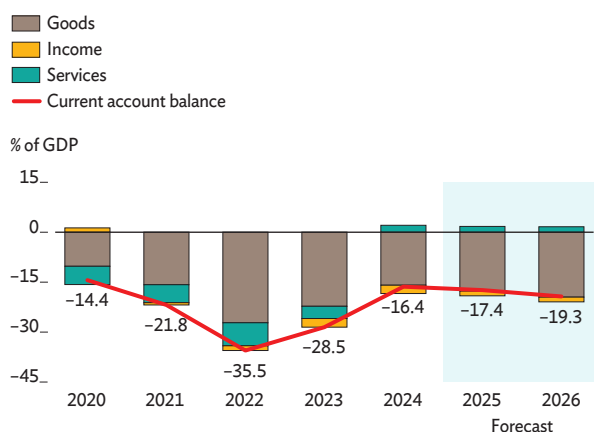
Inflation is projected to rise to 3.4% in 2025 and to 3.5% in 2026. The food price increase in the last quarter of 2024 is expected to continue in the first half of 2025. However, the impact will be tempered by lower transport costs as fuel prices moderate, and expected outmigration will lower demand for housing and utilities, thereby lowering their prices. The food supply will increase and food prices will be contained thanks to the government's renewed focus on agriculture and its allocation of more credit to the sector for large-scale commercial farming in the ongoing economic stimulus plan. Efforts to reduce human-wildlife conflict, including by fencing off agricultural land, should reduce the significant adverse impact of such conflicts on agricultural productivity. These developments and expected price stability in India will help inflation moderate in 2026.

The current account deficit will widen in the forecast years (Figure 2.16.7). The deficit is projected to widen marginally to 17.4% of GDP in 2025 as a growing trade deficit will be tempered by rising remittance and grant inflows, and improvement in tourism arrivals. The deficit will widen further to 19.3% of GDP in 2026 due to the continued worsening of the trade deficit as the construction of hydropower plants picks up, despite increased hydropower exports in the forecast years.

Risk to growth is skewed mainly to the downside. Delays in commissioning planned hydropower plants will slow economic growth and worsen fiscal and

Figure 2.16.7 Current Account Components

Current account deficit will widen in the forecast years.



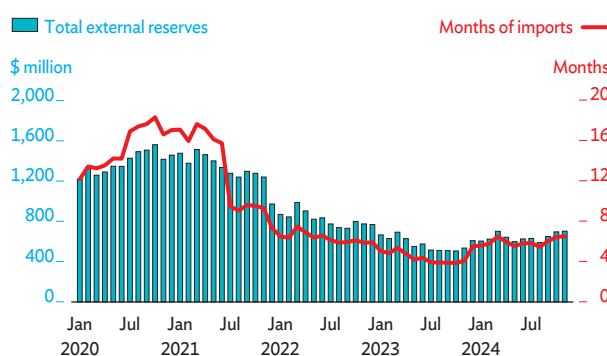
GDP = gross domestic product.

Sources: National Statistics Bureau; Asian Development Bank estimates.

external balances. The recent increase in domestic energy demand has lowered net hydropower exports to India. If the trend persists, it will further worsen fiscal and external positions and slow any improvement in external reserves (Figure 2.16.8). Natural hazards and changing rainfall patterns could threaten hydropower generation and agricultural productivity. Continuing mass outmigration of the talent pool will pressure public service delivery. Rising geopolitical tensions and a trade war between leading global economies will affect growth in Bhutan through its effect on the Indian economy. The main upside risk to the outlook is tourist arrivals higher than expected. Given the industry's very high pass-through effects on the service sector, more tourist arrivals than anticipated would upend the growth forecast. Other upside risks include sooner-than-expected implementation of 5,000 megawatts

Figure 2.16.8 External Reserves

Slow growth of external reserves is a downside risk.



Source: Royal Monetary Authority.

of clean energy projects agreed with Tata company of India, possibly bringing them forward into the forecast period.

Policy Challenge—Navigating Bhutan’s Path to Financial Resilience

The 13th Five-Year Plan, 2024–2029 targets a robust financial system able to mobilize resources to achieve developmental objectives. Financial deepening—a multifaceted process to enhance the size and complexity of the finance sector and its liquidity, efficiency, and volume—is vital for Bhutan’s economic advancement and successfully realizing the objectives of the 5-year plan. Limited financial depth raises risk premiums and borrowing costs, restricts access to higher-return investments, and undermines countercyclical fiscal policies, as budget deficits and increased government borrowing crowd out private sector investment. Conversely, financial depth stabilizes markets and provides affordable financing options, reinforcing government funding and promoting fiscal consolidation by ensuring sustainable balance between public and private sector investment.

Bhutan’s financial market deepening has stalled, as evidenced by stagnant private sector credit growth. Net claims on the private sector as a percentage of GDP averaged about 60% from 2016 to 2024, much lower than in peer economies like Nepal. Post-pandemic private credit growth remains highly volatile and is showing signs of slowing. Domestic banks rely heavily on fixed asset-backed loans due to limited capacity for proper appraisal and financing based on cash flow. Most credit goes to tourism and housing, the latter claiming 30% of all credit, limiting funds for other enterprises and risking credit concentration. Nonperforming loans fell to 7.4% of total outstanding loans in 2024 from 14.6% in 2020, but the improvement must be interpreted with caution as loan repayment deferment continues to be provided as pandemic relief. The end of pandemic-related financial forbearance may reveal further finance sector fragility.

Bhutan’s financial market development is hindered by a lack of diversification. Public sector banks together account for over 82% of the banking sector’s credit to the economy, compared with a South Asian average of 25%. This dominance stifles competition and innovation, lowers the efficiency of the banking sector, and hinders financial deepening and the transmission of monetary policy.

A broad program of financial sector reforms is needed and should contain the following main components. First, strengthening the regulatory framework and establishing a risk-based supervisory model are essential to address vulnerabilities, particularly reversing pandemic-era relaxations of prudential regulations and increasing risk weights for overexposed sectors such as tourism and housing, and prioritizing the integrated supervision of financial conglomerates. Second, robust financial infrastructure should be developed. This includes effective credit information systems, diverse collateral registries, an accessible insolvency framework for smaller firms, interagency coordination for crisis management, and proper assessment of climate risks. Financial institutions should be encouraged to adopt risk-based pricing strategies that assess borrower viability, rather than rely solely on collateral. This would also promote equitable lending. Third, digital finance should be encouraged to enhance payment systems and foster innovation in financing. The establishment of the FinTech Regulatory Sandbox and of cybersecurity supervisory practices is a positive step.

This broad reform plan for financial deepening in Bhutan is ambitious and will take time to develop and implement. The authorities should begin by, among other things, developing a detailed action plan for these reforms and allocating adequate human resources and funds to conduct appropriate studies, develop the required rules and regulations, and establish procedures for needed supervisory actions.